ANSWER KEY

SECOND SEMESTER : Multi-Disciplinary Courses (MDC) - MG2MDCECO100 – UNDERSTANDING INDIAN ECONOMY

PART A(Answer all, 1 mark each)

1. a) 134
2. c) 1970's
3. d) all of the above
4. 5%, 18% and 40% (option not given) - (Hint: Mark for any ans)
5. c). Stabilize currency value
6. c). Hold securities in demat form
7. d). All of the above
8. c). Incidence of a tax
9. d). National Product Company of India
10. b). Accelerating climate action for sustainable development
11. a). Fiscal Deficit minus interest payments
12. b). 15% of capital funds
13. a). 20th
14. a). Exports become more competitive
15. b). United Nations Framework Convention on Climate Change

PART B (Answer any 10, each carries 2 marks)

16. **Key components of India's capital account in the balance of payments**: Capital Inflows and Capital outflows in the form of Investments – FDI and FPI, External loans or borrowings and other capital transfers. [Hint: One mark if capital inflows and outflows is written; Two marks – if all components are mentioned]

17. **India's net zero commitment**: India has pledged to achieve net-zero carbon emissions by 2070, announced at COP26. Its strategy, based on equity and climate justice, involves a "Panchamrit" action plan, aiming to cut 1 billion tonnes of emissions, reduce economic carbon intensity and achieve non-fossil energy capacity by 2030. [Hint: One mark for commitment to achieve net zero carbon emissions at COP26; Two marks for elaboration]

18. **Revenue expenditure**: Revenue expenditure is the routine, daily, and recurring spending of the government that does not create assets or reduce liabilities. It covers operational costs essential for maintaining government functions. Eg: Salaries, subsidies, pensions, and interest payments. [Hint: One mark for correctly defining revenue expenditure and One mark for correct example]

19. **Methods used by RBI to supervise commercial banks**: The Reserve Bank of India (RBI) supervises commercial banks using a combination of on-site inspections, off-site surveillance,

and regulatory guidelines such as capital adequacy, monetary tools, moral suasion and directives. [Hint: One mark for mentioning the methods and two marks for elaboration]

20. **Two prospects of Kerala economy**: a) Service Sector dominance - With around 60% contribution to GSVA, the services sector (tourism, finance, IT) remains the primary engine of growth, b) Remittances & Human Capital - Continued reliance on high quality human resources and sustained remittances from the diaspora. [Hint: One mark for mentioning any two prospects and maximum marks for elaboration]

21. **Three features of India's demographic profile**: India is the world's most populous country (over 1.4 billion) with a remarkably young, rapidly urbanizing population and a median age of around 28 years, offering a significant demographic dividend. Key features also include high population density, rising literacy and life expectancy. [Hint: One mark for mentioning largest population or demographic dividend, Two marks for correctly mentioning any three features]

22. **Significance of Finance Commission recommendations in budget planning**: Finance Commission determines the vertical and horizontal sharing of tax revenues between the Centre and States. They define the fiscal framework for five years, setting borrowing limits, tax devolution ratios, and specific grants-in-aid to ensure fiscal stability, reduce regional imbalances, and bolster local body finances. [Hint: One mark for mentioning revenue sharing, vertical and horizontal equity, Two marks for elaboration]

23. **Commercial bills** - A commercial bill (or bill of exchange) is a short-term, negotiable, and self-liquidating money market instrument used to finance credit sales. It is an unconditional written order from a seller (creditor) to a buyer (debtor) to pay a specific sum on a future date. Common in trade, these bills are usually for 30–180 days and can be discounted with banks for immediate cash. [Hint: One mark for writing money market instrument / order from seller to buyer, two marks for including all features]

24. **Two challenges faced by Kerala Economy**: Fiscal crisis and high debt (high revenue expenditure and low capital expenditure), Educated Unemployment and labour shortage, limited industrialization, declining agriculture and over dependence on remittances. [Hint: One mark for each challenge]

25**. Cheap money policy**: A cheap money policy or expansionary monetary policy is a monetary strategy employed by central banks to increase money supply and stimulate economic growth. It involves lowering bank rates, CRR, SLR etc. [Hint: One mark for mentioning policy of central bank to increase money supply, two marks for including other features of cheap money policy]

26. **Fiscal policy:** Policy related to fisc or government treasury. It refers to the government's use of spending or expenditure, taxation and public borrowings to influence a nation's economy, manage demand, and achieve objectives like sustainable growth, low unemployment, and price stability. It may be expansionary or contractionary in nature. [Hint: One mark for identifying it as a policy of taxation or expenditure by the government, Two marks for including all instruments of fiscal policy]

27. **Role of payment banks**- Payment banks in India act as a specialized, technology-driven financial model designed to promote financial inclusion by providing basic banking services such as savings accounts, payments, and remittances to low-income households and small businesses. Features include financial inclusion, digital and cash less transactions, micro savings and payments, low-cost remittances, leveraging technology. [Hint: One mark for identifying the features of payment banks and maximum marks for writing its role in financial inclusion]

28. **Two objectives of tax policy in India**: The primary objectives of taxation in India are to generate revenue for public services and infrastructure development, reduce income inequalities through progressive taxation, and foster economic growth. Additionally, it aims to stabilize the economy, control inflation, promote social welfare, and regulate consumption and imports. [Hint: One mark for mentioning any two objectives and maximum marks for elaboration]

29. **Any two of India's key exports and key imports commodities**: India's key exports are dominated by refined petroleum, engineering goods, jewellery, and pharmaceuticals. Key imports are heavily dominated by crude oil, coal, and electronic goods. [Hint: One mark for naming key exports and a marks for imports]

PART C (Answer any 3, each carries 5 marks)

30. **Fiscal situation in Kerala** : Major Challenges on the fiscal front - High fiscal and total debt: the state has relied heavily on borrowing to meet revenue expenditures, Lop-sided expenditure structure: High revenue to capital expenditure, Demographic Pressure: An aging population increases pressure on healthcare and pension expenditures and Remittance Dependency: A shift in the nature of foreign remittances poses a risk to the state's economic stability. Recent Trends - Fiscal Improvement: Tightened tax collection and better compliance have bolstered revenue, Performance vs. Other States: While debt is higher than the national median, Kerala is navigating it through improved tax administration [Hint: Minimum 2 marks for stating the fiscal challenges and maximum marks for elaboration]

31. **Quantitative credit control measures used by RBI**: The Reserve Bank of India (RBI) uses quantitative credit control measures to regulate the volume of credit and liquidity in the economy. Measures of credit control include lowering Bank Rate, Repo Rate, Reverse Repo Rate, Cash Reserve Ratio (CRR), Statutory Liquidity Ratio (SLR), and Open Market Operations (OMO). [Hint: Minimum 2 marks for stating the instruments of credit control and maximum marks for explaining the effects of measures on liquidity and inflation]

32. **Methods of National income Measurement**: National income is calculated using three main methods: 1) the Value Added (Product) Method - calculates national income as the sum of the net value added by all producing enterprises within the domestic territory of a country during a given year. It measures the value of final goods and services produced.2) The Income Method - calculates national income by adding up all incomes earned by factors of production—land, labour, capital, and enterprises N.I = Wages and Salaries + Rent + Interest + Profit. 3) Expenditure Method- computes national income by adding up all final expenditures incurred on final goods and services by individuals, businesses, the government and external

sector in a year N.I = C + I + G + (X - M), [Hint: Minimum 2 marks for defining all three methods and maximum marks for describing the components and the formula used for calculation]

33. **Structure of the Balance of Payments**: Vertically BoP is divided into 2 – Debit and Credit, Horizontally it is structured into three main components: the Current Account, Capital Account, and Official settlements or official reserve account (plus errors and omission) It operates on a double-entry bookkeeping system, generally balancing total credit (receipts) with total debit (payments). Current account records transactions in goods, services, and unilateral transfers. Capital Account: Records capital inflows and outflows such as investments, external borrowings and lendings. Official Reserve Account: Changes in the country's foreign exchange reserves, managed by the central bank. Errors and Omissions: A balancing item inserted to ensure the BOP statement equals zero, accounting for statistical discrepancies. [Hint: Minimum 2 marks for defining all 3 components and maximum marks for stating transactions included in each]

34. **Measures to control inflation**: Controlling inflation involves reducing the money supply and slowing demand through contractionary monetary policies (raising interest rates) and fiscal policies (increasing taxes, reducing government spending). Central banks (e.g., RBI, Federal Reserve) hike rates to make borrowing expensive, curbing spending and slowing economic activity, thereby easing inflationary pressures. [Hint: Minimum 2 marks for defining inflation and mentioning contractionary monetary and contractionary fiscal policy instruments. Maximum marks for describing the effect of measures on inflation]

35. **BSE and NSE**: The Bombay Stock Exchange (BSE) and National Stock Exchange (NSE) are India's premier stock exchanges, regulated by SEBI, facilitating trading in equities, derivatives, and debt. The BSE is Asia's oldest exchange (est. 1875) known for more listed companies, while the NSE (est. 1992) leads in trading volume and technological innovation. BSE uses the S&P BSE SENSEX (top 30 companies), while NSE uses the NIFTY 50 (top 50 companies). [Hint: Minimum 2 marks for correctly defining BSE and NSE and maximum marks for writing their significance and role as stock markets]

36. **Happiness Index** : The happiness index, specifically the World Happiness Report, is primarily measured using data from the Gallup World Poll, where individuals rate their current lives on a ladder scale from 0 to 10. The ranking is calculated by averaging these responses over three years, using six key variables to explain these ratings: GDP per capita, social support, healthy life expectancy, freedom to make life choices, generosity, and freedom from corruption. [Hint: Minimum 2 marks for stating the concept of happiness index and maximum marks for explaining the variables and for differentiating it from traditional concepts]